CASCADIA ANALYTICS

INVESTMENT SCORECARD

RBRK

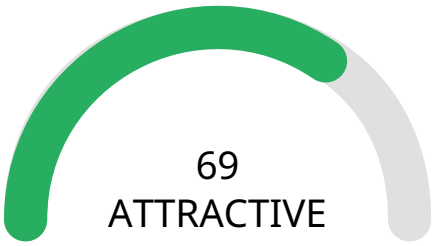
Rubrik, Inc. (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 FY27 (10-Q) | Currency: USD

$114.59 [Mkt 17-Oct-26]

Market Cap: $23.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 74

81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.

2. Recent Trend — 82

ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.

3. Forward Growth — 76

FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.

4. Valuation — 52

DCF base $127.06 sits 11% below the $114.59 price, and the reverse DCF implies a demanding 37.8% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.

5. Catalysts & Risk — 62

Q3 print in December and Identity/Agent Cloud scaling are near-term positives. Risks: sell-the-news after beats, 27% share-count inflation from SBC, and the migration comp gets harder. Slight positive skew.

Investment Thesis

- **Cyber Resilience Platform:** Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27].
- **Profitability Inflection:** FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight.
- **Fair Price, Not Cheap:** At $114.59 [Mkt 17-Oct-26], the DCF base of $127.06 implies 11% downside and the market prices in 37.8% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Subscription ARR (Q2 FY27)	$1.66B [10-Q Q2 FY27]	+33% [10-Q Q2 FY27]	Up
Revenue (Q2 FY27)	$427.3M [10-Q Q2 FY27]	+38% (+43% normalized) [10-Q Q2 FY27]	Up
Net Retention Rate	>119% [10-Q Q2 FY27]	vs >120% prior year [10-Q Q2 FY27]	Flat
Customers $100K+ ARR	3,084 [10-Q Q2 FY27]	+23% [10-Q Q2 FY27]	Up
ARR Contribution Margin (TTM)	14.0% [10-Q Q2 FY27]	+4.6 pts (from 9.4%) [10-Q Q2 FY27]	Up
Free Cash Flow (Q2 FY27)	$65.7M [10-Q Q2 FY27]	vs $57.5M prior year [10-Q Q2 FY27]	Up
FY2027 Revenue Guide	$1.685-1.693B [8-K guid]	+28% [8-K guid]	Up
FY2027 FCF Guide	$323-333M [8-K guid]	19.4% margin at midpoint [8-K guid]	Up

Historical Financial Trend

Metric	FY24	FY25	FY26	TTM
Revenue	n/a [n/a]	$886.5M [10-K FY25]	$1.316B [8-K FY26]	$1.542B [Cons]
Gross Margin (non-GAAP)	n/a [n/a]	77.4% [8-K FY25]	81.5% [8-K FY26]	81.0% [10-Q Q2 FY27]
Subscription ARR	n/a [n/a]	n/a [n/a]	$1.46B [8-K FY26]	$1.66B [10-Q Q2 FY27]
FCF Margin	n/a [n/a]	3.7% [8-K FY25]	19.3% [8-K FY26]	8.8% [Cons]

Valuation

Absolute (5/10)

P/S ~15x [Mkt 17-Oct-26]
DCF Base $127.06 vs $114.59 (+11%)
Reverse DCF implies 40.0% CAGR

Terminal value construction, disclosed in full: terminal value is the Gordon growth leg alone on 2035 free cash flow, and the exit EV/EBITDA leg is retained in the model as a cross-check only. Legs are stated in billions of dollars. The Gordon leg is 51.0 in the Base case, 38.5 in the Bear case and 65.9 in the Bull case. The exit leg on 2035 EBITDA is 42.7 in the Base case at a 20.0x multiple, 22.5 in the Bear case at 15.0x and 72.5 in the Bull case at 25.0x. Because the exit leg sits below the Gordon leg in the

Versus Peers (7/8)

CRWD ~40x P/S [Peers 17-Oct-26]
PANW ~28x P/S [Peers 17-Oct-26]
RBRK ~14.5x on ~46% growth

Cheapest growth-adjusted multiple in the AI-cyber set, far below CrowdStrike and Palo Alto on similar or faster growth.

Versus History (6/7)

IPO Apr 2024 at $32 [10-K FY25]
52wk range $42.25-$127.90 [Mkt 17-Oct-26]

Short public history; up ~250% from IPO but trading below the $128 recent high after two sell-the-news reactions.

Bear and Base cases, removing the average raised those targets. At the model's terminal discount rate the Base exit leg implies 1.87% perpetual growth against the 3.0% assumed in the Gordon leg, and the growth-consistent exit multiple is 23.9x against the 20.0x used. The present value of terminal value is 67.3% of Base enterprise value (Bear 65.5%, Bull 68.7%).

The model says fair value, not a discount, and the implied growth bar is high.

Catalyst Timeline

Dec 2026 [8-K guid]
Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

FY27 [8-K guid]
Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+ paying customers. New product legs are the upside lever.

Jan 2027 [8-K guid]
FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

What Would Change Our Score

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than

Top Risk Factors (Item 1A)

1. Material-Rights Headwind: CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27. [10-Q Q2 FY27]

2. Migration Tailwind Fading: The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward. [10-Q Q2 FY27]

3. Dilution & SBC: Heavy stock-based compensation drove a $1.15B GAAP loss in FY25 and negative equity; share count keeps inflating and diluting holders. [10-K FY25]

4. Sell-the-News Pattern: Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta. [Mkt 17-Oct-26]

expected could make the bull case ($160.02) reachable.

Forward Growth Drivers

- Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2 [8-K guid]
- Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions [8-K guid]
- Security products now drive 40% of net retention, up from 32% a year ago [8-K guid]
- Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months [10-Q Q2 FY27]

Missing / Modified Data Log

- FY24 (ended Jan 31, 2024) financials not pulled; trend table starts at FY25.
- ROIC not disclosed; operating quality judged on margins, FCF, and balance sheet.
- Rule-of-40 math uses guided FY27 figures, tagged [8-K guid].
- FY25 subscription ARR not sourced; left as n/a rather than back-computing.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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